

Retail Research	IPO Note
Sector: Auto Ancillary	Price Band (Rs): 668 - 704
19 th December 2024	Recommendation: Subscribe for Long-Term Investment Horizon

Carraro India Ltd.

Company Overview:

Carraro India Ltd. is a technology-driven supplier that develops engineering products and solutions for Original Equipment Manufacturers (OEMs). As an independent Tier 1 provider, it specializes in axles, transmission systems and gears for India's agricultural tractor and construction vehicle industries. The company's in-house design and manufacturing capabilities support the entire value chain of these components. With 27 years of presence, they have built a strong network with local and international customers. The company's early entry has allowed to better understand the market and foster lasting relationships, resulting in customized products that create high switching costs for the customers.

Key Highlights:

1. Top tier 1 supplier of transmission systems and axles: According to the Markets and Markets Report, the company is a leading Tier 1 supplier of axles, transmission systems, and gears for agricultural tractors and construction vehicles in India. As of Mar'24, the company leads the market in transmission systems for tractors up to 150 HP and holds a 60%-65% share of the non-captive construction vehicle transmission market. The company's strong customer relationships and early-mover advantage establish them as the preferred Tier 1 provider. The company's complex and essential products provide a competitive advantage, as they cannot be easily replaced by OEM customers.

2. Technologically advanced manufacturing plants with large production capacities: (a) **Driveline Manufacturing Plant:** The company's 84,000 square meter driveline plant produces agricultural and construction equipment, axles, and transmission systems. Equipped with advanced machining, assembly, and painting facilities, it holds the ISO 9001:2015 quality management system and ISO 14001:2015 environmental management certifications, recognized for high quality by the customers. (b) **Gears Manufacturing Plant:** The 78,000 square meter gears plant manufactures a variety of gears and gear shafts for internal and third-party use. It features soft machining, heat treatment, and hard machining facilities, and is certified with the ISO 9001:2015 and ISO/TS 16949:2016 quality management systems.

3. Customer-centric offering of customized solutions to a longstanding OEM customer base: The company's products are essential components for OEMs. As a tier 1 OEM supplier, the company provides customized solutions to Indian customers and international clients with operations in India. It handles the entire value chain, from R&D to manufacturing axles and transmission systems, and focus on identifying emerging needs to support clients from planning to launch and maintenance of their off-highway vehicles and gears. Some of the marquee customers include Mahindra & Mahindra Ltd, Tafe, CNH Industrial, Action Construction Equipment Ltd., Volvo Construction Equipment, Kion Group etc.

Valuation: At the upper price band of Rs 704, Carraro India Ltd is valued at FY24 and FY25 (annualized) P/E multiple of 64.0x and 40.2x on post-issue capital. The company is a leading Tier 1 supplier of axles, transmission systems and gears for agricultural tractors and construction vehicles in India. The company has showcased notable financial performance over the years with Revenue/EBITDA/PAT growing at a CAGR of 9.3%/48.1%/67.0% respectively over the FY22-FY24 period. The domestic agriculture tractor sales volume and harvesting equipment industry is expected to grow at a CAGR of 8.2%/7.2% between FY24-FY29E, which shall augur well for the company's growth. We recommend investors to subscribe to the issue at cut-off price for long term.

Issue Details	
Date of Opening	20 th December 2024
Date of Closing	24 th December 2024
Price Band (Rs)	668 - 704
Offer for sale (Rs cr)	1,250
Issue Size (Rs cr)	1,250
No. of shares	1,87,12,575 – 1,77,55,682
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	3,798 – 4,002
BRLMs	Axis Capital Ltd., BNP Paribas., Nuvama Wealth Management Ltd.
Registrar	Link Intime India Private Ltd.
Bid Lot	21 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	5,68,51,538	100.0
Public & Others	0	-
Total	5,68,51,538	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	3,81,38,963	67.1
Public & Others	1,87,12,575	32.9
Total	5,68,51,538	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,90,95,856	68.8
Public & Others	1,77,55,682	31.2
Total	5,68,51,538	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY22	FY23	FY24	1HFY25
Revenue from operations	1,497.5	1,713.1	1,789.0	914.6
EBITDA	60.4	104.7	132.4	93.0
PAT	22.4	48.5	62.6	49.7
EBITDA Margin (%)	4.0	6.1	7.4	10.2
PAT Margin (%)	1.5	2.8	3.5	5.4
RoE (%)	7.7	14.4	16.9	-
RoCE (%)	10.0	16.2	18.3	-
P/E (x)*	178.5	82.6	64.0	-

Source: RHP, SSL Research

Valuation ratios are based on pre-issue share capital

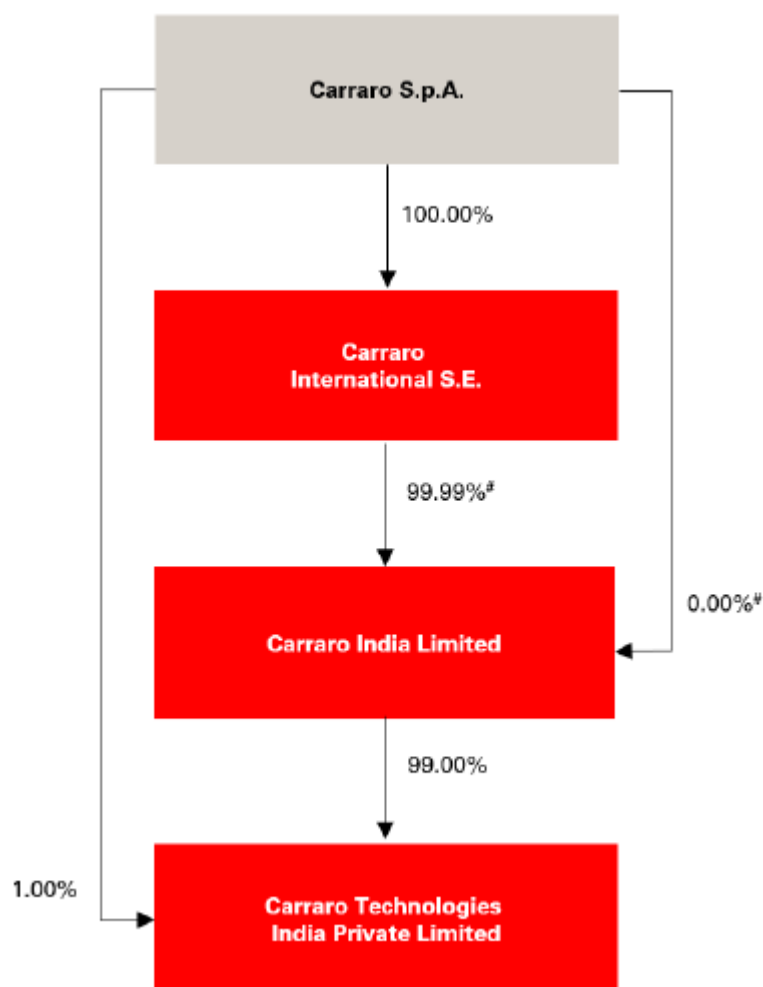
Risk Factors

- **Revenue concentration:** The company derived 69.55%/87.88% of its revenue in 1HFY25 and 69.37%/85.39% of its revenue in FY24 from top 5 and top 10 customers respectively. Any inability to retain key customers or attract new customers and expand customer network could negatively affect the business and results of operations.
- **Related party transaction:** The company has entered into and may continue to enter into related party transactions with the Carraro Group, Directors and Key Managerial Personnel. The company incurred 33.89% and 34.67% of the total income and 6.70% and 8.63% of the total expenses in transactions with related parties in the 1HFY25 and FY24, respectively. Such transactions may require significant capital outlay and there can be no assurance that the company will be able to make a return on these transactions or investments. *(Please refer to the corporate structure on Page 3)*
- **Emphasis of matter in audited financial statements for FY22, FY23 and FY24:** The examination report on the Restated Consolidated Financial Information discloses an emphasis of matter for the FY22, FY23 and FY24. Further, audit reports on audited financial statements include certain adverse remarks and observations required to be disclosed under the Companies (Auditor's Report) Order, 2020 as of and for FY22, FY23 and FY24. The company cannot assure that financial information for future periods will not contain emphasis of matters, adverse remarks or observations.
- **Contingent liability:** The company has certain contingent liabilities that have not been provided for in the restated consolidated financial information, which if materialize, may adversely affect the financial condition.
- **Legal proceeding:** Company, Subsidiary and Promoters are involved in outstanding legal proceedings and any adverse outcome in any of these proceedings may adversely impact the business and its reputation.
- **Seasonality business:** The company's agricultural tractor business is seasonal in nature and a decrease in the sales during some quarters could have an adverse impact on the financial performance.

Growth Strategies

- Maintain strong positioning in axles and transmission systems with an aim to secure market position.
- Drive growth through the introduction of new products and product application innovation.
- Develop future-ready solutions for emerging technologies and potential entry into new market segments.
- Enhance and expand production capabilities in India.
- Increase share of localization and further improve efficiencies of the supply chain.

Corporate Structure



The Company is subsidiary of Carraro International SE, which is wholly owned by Carraro S.p.A., the parent company of the Carraro Group. The Carraro Group designs and manufactures special tractors (for vineyards and orchards from 60 to 100 HP) for third-party brands. Carraro S.p.A. also provides services related to the Carraro Group companies' strategic guidance, control and coordination. Within the Carraro Group, the company belongs to the driveline business area, which is led by Carraro Drive Tech Italia S.p.A.

Source: RHP, SSL Research

[#] 99.99% and 0.01% of Equity Shares of the Company is held by Carraro International S.E. and Siap S.p.A., respectively. The Equity Shares held by Carraro International S.E. include 1 Equity Share each jointly held with Tomaso Carraro, Enrico Carraro, Enrico Gomiero and Davide Grossi, respectively, Carraro International S.E. being the first holder. 1 Equity Share of the Company is held by Carraro S.p.A., which is a negligible percentage. For further details, see "Capital Structure" beginning on page 93.

Product Portfolio: Axles & Transmission Systems

	Agricultural tractor			Construction vehicle		
Axles						
	30 – 50 HP	49 – 135 HP	50 – 75 HP	Steering Axle 1 - 9.5 T UVW	Rigid Axle 1- 9.5 T UVW	Rigid Hypoid Axle 5 - 17 T UVW
Transmission Systems						
	T40 & T50	50-90 HP	Upto 150 HP	TCB80	TCB80SPS	Hydrostatic Infinitely Variable

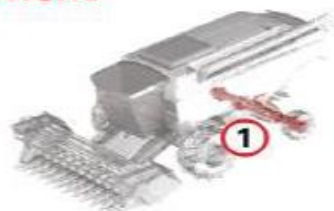
Source: RHP, SSL Research

Applications: Axles & Transmission Systems

Agricultural equipment

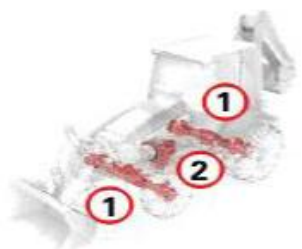


Tractor

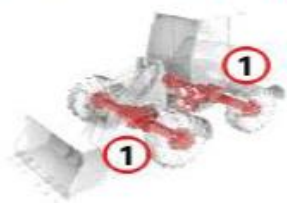


Harvester

Construction equipment



**Back-hoe loader
(BHL)**



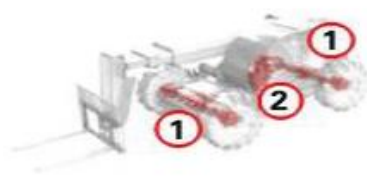
**Compact wheel loader
(CWL)**



**Soil compactor
(SCOM)**



**Self loading concrete
mixers (SLCM)**



**Telescopic boom handler
(TBH)**



**Forklift trucks
(MH)**

Source: RHP, SSL Research

Production Capabilities

Particulars	FY22	FY23	FY24	1HFY24	1HFY25
Number of axles produced at driveline manufacturing plant*	72,654	74,342	68,961	36,223	42,144
Number of transmission systems produced at driveline manufacturing plant*	47,129	47,055	46,579	27,091	19,635
Number of other components produced (loose trumpet and loose drop box) at driveline manufacturing plant*	11,503	10,772	14,066	11,853	8,112
Capacity utilization of driveline manufacturing plant (%)^	82.3%	80.2%	81.1%	88.8%	76.8%
Number of gears, shafts, ring gears and other related components produced at gear manufacturing plant*	15,25,468	16,76,707	16,18,845	9,69,498	9,03,999
Capacity utilization of gear manufacturing plant (%)^	84.8%	93.2%	89.9%	89.8%	71.4%

Source: RHP, SSL Research

*Actual production represents quantum of production in the relevant manufacturing facility in the relevant period or Fiscal.

^As all products vary significantly in terms of value addition, cost, weight, input resources etc., the Total Capacity Utilization is calculated by using a common factor (weight in kilogram in this case) so as to make all the product lines at par and comparable. In some product lines, where, production is drastically reduced due to fewer customer orders, no weightage is given.

Revenue: Product & Geography

Particulars (Rs cr)	FY22	FY23	FY24	1HFY24	1HFY25
Revenue from operations	1,497.5	1,713.1	1,789.0	961.0	914.6
Other operating income	7.2	9.4	9.3	4.9	4.0
Revenue by product sector	1,490.3	1,703.7	1,779.7	956.1	910.6
– Agricultural Tractor	745.9	832.3	793.4	426.4	425.0
– Construction Vehicle	532.6	647.7	727.2	396.6	357.6
– Others	195.9	205.7	240.6	122.9	120.2
Revenue by geography					
India	941.9	1,053.1	1,141.3	611.0	595.6
Exports*	548.4	650.6	638.4	345.1	315.1
– European Union	490.8	588.6	616.4	335.0	302.7
– Asia (other than India)	12.0	10.4	14.3	4.3	9.1
– Americas	45.6	51.6	7.7	3.3	2.4
– Rest of the world	0.0	0.0	0.0	2.5	0.8

* The company export directly to some customers in Asia (excluding India) and indirectly to some customers in Asia (excluding India) and customers outside of Asia through Carraro Drive Tech Italia S.p.A.

Source: RHP, SSL Research

Customer Base

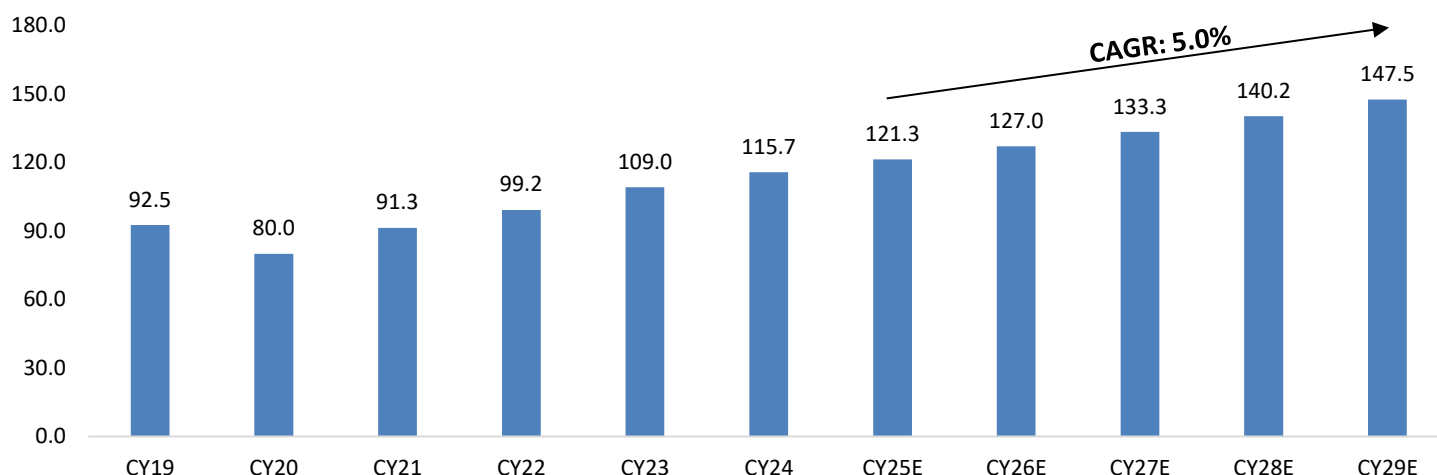
Particulars	FY22	FY23	FY24	1HFY24	1HFY25
Number of customers	42	41	44	41	44
Agricultural tractor sector only	10	9	12	11	12
Construction vehicle sector only	15	17	16	16	18
Agricultural tractor and construction vehicle sectors	6	6	6	5	5
Others sector	11	9	10	9	9
Revenue from operations contribution from customers (Rs cr)	1,497.5	1,713.1	1,789.0	961.0	914.6
Customers of less than five years	545.8	704.0	807.5	434.0	365.7
Customers of more than five years but less than 10 years	135.9	201.2	200.4	99.2	125.6
Customers of more than 10 years	815.8	807.9	781.0	427.9	423.3

Source: RHP, SSL Research

Industry Overview

Indian construction vehicle sales volume is expected to grow at CAGR of 5% between FY25-FY29E: Support from the Ministry of Road Construction and Highways (MoRTH) has been instrumental in driving the demand for construction vehicles. The Central Government has committed over USD 1.3 tn under its National Infrastructure Pipeline (NIP) Vision 2025, and sectors such as energy, roads, urban areas, and railways are expected to constitute nearly 70% of the projected capex in infrastructure. India's construction vehicle sector has seen significant expansion in recent years, fueled by rapid urbanization and infrastructure development initiatives. Government efforts to enhance modern infrastructure have spurred a notable increase in demand for construction vehicles. The market for construction vehicles in India is projected to increase from 109.0 thousand units in CY23 to 147.5 thousand units by CY29.

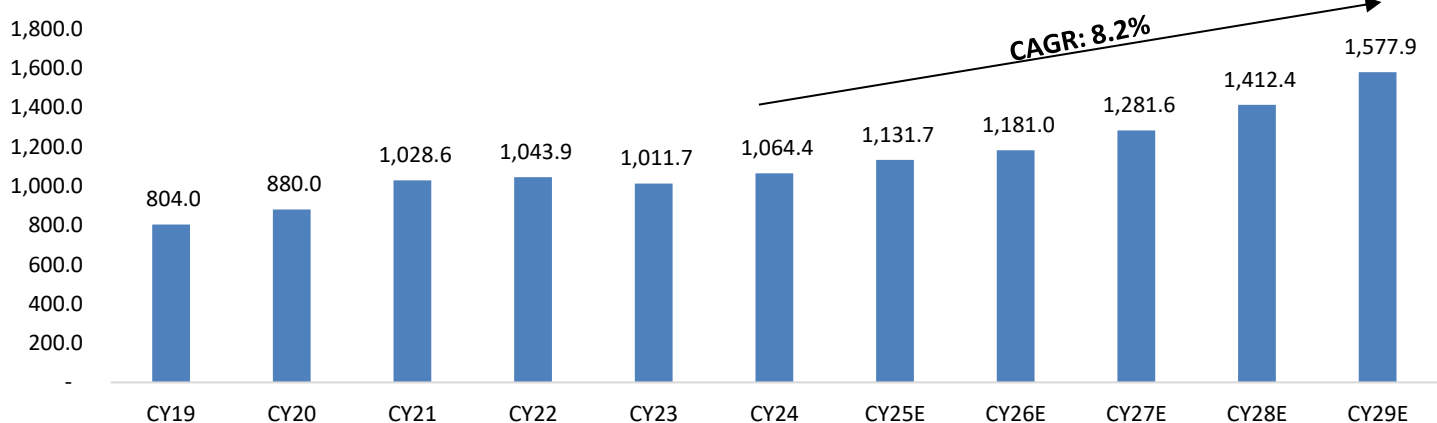
Indian Construction Vehicle Sales Volume ('000 Units)



Source: RHP, SSL Research

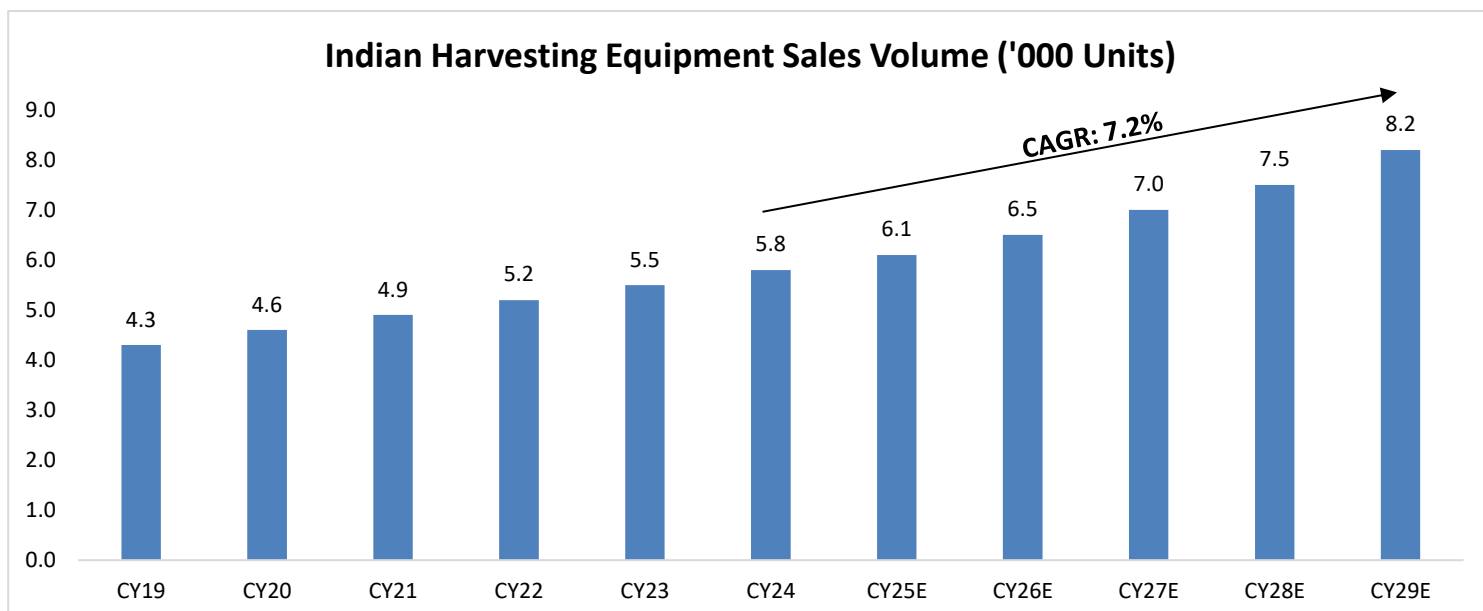
India's agriculture tractor sales volume and harvesting equipment is expected to grow at a CAGR of 8.2%/7.2% between FY24-FY29E: The Indian agriculture industry has grown consistently in recent years. According to the Tractors Manufacturers Association, India tractor sales (including exports) were 804.0 thousand units in CY19, which increased to 880.0 thousand units in CY20 despite Covid-19 pandemic lockdowns. Tractor sales again increased to 1,028.6 thousand units in CY21 even during the second wave of the pandemic and again increased to 1,043.9 thousand units in CY22. Tractor sales, however, declined in CY23 to 1,011.7 thousand units due to factors such as irregular monsoon distribution particularly impacting the Kharif crop season and decline in exports due to recession in global markets. Tractor sales during CY24 to CY29 are expected to be positively impacted by demand for farm mechanization, supporting government policies, technological advancements, better financing options, and others. The increasing agricultural productivity, government initiatives, rise of precision farming, growing demand for organic farming, increasing focus on food security, government subsidies, the rise of contract farming, and government support for mechanization are all contributing to the growing demand for harvesting equipment.

Indian Tractor Agriculture Sales Volume ('000 Units)



Source: RHP, SSL Research

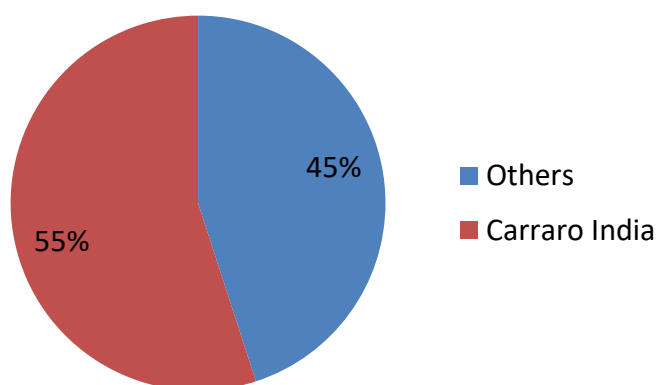
Indian Harvesting Equipment Sales Volume ('000 Units)



Source: RHP, SSL Research

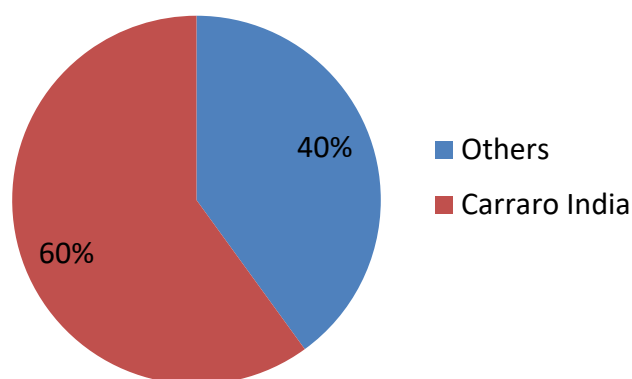
Leading Independent Tier I Supplier of Axles and Transmission Systems

Indian Agriculture Tractor 4WD
Axles > 40HP Volumes (Non-Captive)



Source: RHP, SSL Research

Indian Constuction Vehicle
Transmission Volumes (Non-Captive)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT				
(Rs cr)	FY22	FY23	FY24	1HFY25
Revenue from Operations	1,498	1,713	1,789	915
YoY growth (%)	-	14.4	4.4	-
Cost Of Revenues (incl Stock Adj)	1,122	1,276	1,313	667
Gross Profit	375	437	476	247
Gross margins (%)	25.1	25.5	26.6	27.0
Employee Cost	117	130	143	75
Other Operating Expenses	198	202	200	79
EBITDA	60	105	132	93
EBITDA margins (%)	4.0	6.1	7.4	10.2
Other Income	23	20	18	8
Interest Exp.	16	20	22	12
Depreciation	36	39	43	22
PBT	31	66	84	67
Exceptional item	-	-	-	-
Tax	8	17	22	17
PAT	22	48	63	50
PAT margin (%)	1.5	2.8	3.5	5.4
EPS (Rs)	3.9	8.5	11.0	8.7
PAT	22	48	63	50
PAT margin (%)	1.5	2.8	3.5	5.4
EPS	3.9	8.5	11.0	8.7

BALANCE SHEET				
(Rs cr)	FY22	FY23	FY24	1HFY25
Assets				
Net Block	260	287	312	306
Capital WIP	10	9	-	-
Intangible Assets	5	4	29	27
Right of use assets	16	15	14	27
Other Non-current Assets	46	40	48	54
Current Assets				
Inventories	237	255	286	291
Trade receivables	257	303	243	256
Cash and Bank Balances	104	105	104	97
Other Current Assets	77	53	38	35
Total Current Assets	675	716	671	679
Current Liabilities & Provisions				
Trade payables	429	428	365	357
Other current liabilities	50	47	43	28
Short-term provisions	19	22	32	30
Total Current Liabilities	498	497	441	415
Net Current Assets	177	220	230	264
Total Assets	515	576	632	679
Liabilities				
Share Capital	57	57	57	57
Reserves and Surplus	236	281	313	363
Total Shareholders' Funds	292	337	370	419
Total Debt	178	188	213	196
Long Term Provisions	39	46	47	48
Lease Liabilities	4	3	2	16
Total Liabilities	515	576	632	679

(Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	96	80	112
Cash flow from Investing Activities	(59)	(62)	(85)
Cash flow from Financing Activities	9	(15)	(30)
Free Cash Flow	36	17	53

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets (%)	2.2	4.5	5.8
Return on Capital Employed (%)	10.0	16.2	18.3
Return on Equity (%)	7.7	14.4	16.9
Margin Analysis			
Gross Margin (%)	25.1	25.5	26.6
EBITDA Margin (%)	4.0	6.1	7.4
Net Profit Margin (%)	1.5	2.8	3.5
Short-Term Liquidity			
Current Ratio (x)	1.1	1.3	1.3
Quick Ratio (x)	0.7	0.8	0.7
Avg. Days Sales Outstanding	63	65	50
Avg. Days Inventory Outstanding	77	73	80
Avg. Days Payables	109	97	81
Fixed asset turnover (x)	5.8	6.0	5.7
Debt-service coverage (x)	0.2	0.4	0.5
Long-Term Solvency			
Total Debt / Equity (x)	0.6	0.6	0.6
Interest Coverage Ratio (x)	2.9	4.3	4.8
Valuation Ratios*			
EV/EBITDA (x)	67.5	39.0	31.0
P/E (x)	178.5	82.6	64.0
P/B (x)	13.7	11.9	10.8
EV/Sales (x)	2.7	2.4	2.3
P/Sales (x)	0.5	0.4	0.4

*Valuation ratios are based on pre-issue share capital

Source: RHP, SSL Research

Peer Comparison – FY24

Particulars (Rs cr)	Carraro India Ltd.	Escorts Kubota Ltd.	Schaeffler India Ltd.	Sona BLW Precision Forgings Ltd.	Ramakrishna Forgings Ltd.	Happy Forgings Ltd.	Action Construction Equipment Ltd.
CMP	704.0	3,361.0	3,387.0	615.0	906.0	1,035.0	1,505.0
Sales	1,789.0	8,850.0	7,226.0	3,185.0	3,955.0	1,358.0	2,914.0
EBITDA	132.4	1,167.0	1,327.0	902.0	842.0	388.0	404.0
Net Profit	62.6	1,049.0	909.0	518.0	341.0	243.0	328.0
Mkt Cap.	4,002.3	37,643.0	52,908.0	38,289.0	16,389.0	9,748.0	17,928.0
Enterprise Value	4,111.3	36,658.0	51,842.0	36,652.0	17,793.0	9,804.0	17,977.0
EBITDA Margin (%)	7.4	13.2	18.4	28.3	21.3	28.6	13.9
Net Profit Margin (%)	3.5	11.9	12.6	16.3	8.6	17.9	11.3
P/E (x)	64.0	142.7	155.1	38.4	363.9	10.1	14.7
EV/EBITDA (x)	31.0	31.4	39.1	40.6	21.1	25.3	44.5
EV/Sales (x)	2.3	4.1	7.2	11.5	4.5	7.2	6.2
RoE (%)	16.9	12.0	20.0	20.9	17.0	18.7	30.6
RoCE (%)	18.3	16.1	26.7	24.0	18.7	22.7	42.3

For Carraro India Ltd., Market cap, P/E (x), EV/EBITDA (x) and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is closing price of 18th December 2024.

For Carraro Ltd, RoE (%), RoCE (%) are calculated on pre-issue basis.

Source: RHP, SSL Research

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485 | Research Analyst Registration No INH000000602

SEBI Registration No.: Stock Broker: INZ000200032 | CDSL: IN-DP-314-2017 | NSDL: IN-DP-NSDL-369-2014 | Research Analyst: INH000000602

IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

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